Alibaba Group (BABA US & 9988 HK)

CY1Q26 Preview: Change the Scoreboard

The setup. Alibaba will report 1Q26 (March quarter) results into a stock that has re-rated significantly on the China AI infrastructure narrative, with cloud revenue growth as the primary financial proof point. E-commerce – still the majority of earnings – has been a secondary consideration, with investors broadly willing to accept stabilization as sufficient. Consensus heading into the quarter expects Customer Management Revenue (CMR) growth in the mid-to-high single digits, cloud external revenue growth of approximately 40%, and 'All Others' segment losses of RMB10-15bn. We think consensus is wrong on two of these three: we believe reported CMR will print around 1%, and 'All Others' losses will approach RMB20bn. We expect Cloud to be in line. The net effect is modestly negative for consolidated EBITA, but, in our view, the composition of the miss matters more than its magnitude.

- **The core debate.** This quarter forces a KPI migration. Alibaba has launched a new merchant incentive program – consistent with Tmall's publicly announced 2026 'certainty' strategy (source: Jiemian, March 27), which contractually commits platform subsidies to brand merchants who hit agreed GMV and take-rate targets. Because these incentives are contractually linked to merchant transactions and performance, they are more likely to be treated as consideration payable to customers and therefore recorded as contra-revenue, rather than selling and marketing expenses, unless the company can demonstrate that they are payments for distinct services received from merchants at fair value. We estimate this reclassification drags reported CMR by approximately 6 percentage points, compressing underlying growth of ~7% to a reported ~1%. We expect the drag to persist for at least three to four quarters on annual contracts. EBITA is unaffected – the spend is simply moved from below the line to above it. The real question, then, is not whether CMR missed, but whether investors are willing to shift their tracking metric to core e-commerce EBITA ex-food delivery. We estimate that metric is flat year-on-year, improving from a high-single-digit decline in 4Q25. That is genuine stabilization – the first inflection in several quarters – but it will be invisible to anyone still reading the CMR line.

China

Head of China Equity Research and Co-Head of Asia TMT Research

Alex Yao AC
(86 21) 6106 6505
alex.yao@jpmorgan.com
SAC Registration Number: S1730523020001

Andre Chang, CFA
(86-21) 6106 6362
andre.ch.chang@jpmorgan.com
SAC Registration Number: S1730520080002

Nancy Liu
(86 21) 6106 6343
nancy.liu@jpmorgan.com
SAC Registration Number: S1730524090001

J.P. Morgan Securities (China) Company Limited

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	End Date	Prev	End Date
Alibaba Group Holding Limited (BABA)	BABA US	285,821	USD	119.72	OW	n/c	200.00	Dec-26	205.00	n/c
Alibaba Group Holding Limited	9988 HK	308,321	HKD	126.50	OW	n/c	195.00	Dec-26	200.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 07 Apr 26 except for 9988 HK [08 Apr 26].

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

- **The second issue is harder.** We estimate 'All Others' losses roughly doubled sequentially, approaching RMB20 billion, driven by Qwen app user acquisition costs. The Chinese New Year (CNY) campaign was publicly large – RMB3 billion in direct subsidies, ~200 million orders at ~RMB 25 each, with Qwen DAU surging from 7 million to a peak of 73.5 million before stabilizing around 40 million (source: QuestMobile, February 2026). The strategic logic – using Qwen as an agentic commerce entry point into Alibaba's ecosystem – is defensible. But unlike food delivery, which now has a disclosed loss reduction framework (halving annually, breakeven by FY29, per JPM estimates), Qwen investment has no financial guardrails: no loss ceiling, no timeline, no articulated relationship between spend and returns. This is the line item that could shift the stock narrative from 'e-commerce stabilization + cloud AI' to 'where are the earnings?'.

- **Our view.** We think the quarter will initially trade poorly on the CMR headline, but that the selloff will be contained if the company discloses apples-to-apples CMR (which we expect it to do in the earnings release) and if investors focus on the EBITA trajectory. The more durable risk is the Qwen overshoot. If management can credibly frame the CNY spend as non-recurring and guide towards a materially lower quarterly run-rate, this quarter becomes a clearing event – trough consolidated earnings from which the trajectory improves. If they cannot, we believe the market will begin pricing an open-ended consumer AI investment cycle on top of the existing food delivery drag, and the e-commerce stub valuation will compress. We lean towards the former, but with limited conviction on the Qwen forward trajectory specifically. On e-commerce fundamentals, we have higher confidence: we believe the flat EBITA, while not sufficient to drive a re-rating on its own, is directionally positive and should improve further in coming quarters as competitive lapping becomes more favourable.

CY1Q26 preview and change of financial forecasts

What to watch. Five things matter during the release and call. First, whether the earnings release includes an explicit apples-to-apples CMR figure ex-contra-revenue – this is the single fastest way for the company to neutralize the headline miss, and its absence would be a negative signal. Second, the Qwen forward spending framework – any language resembling the food delivery loss reduction roadmap (annual targets, a breakeven horizon, or spend-to-outcome KPIs) would meaningfully reduce the investment discount. Third, the precise level of core e-commerce EBITA ex-food delivery and whether it inflects to positive year-on-year growth, which would be the strongest signal that the competitive cycle is turning. Fourth, cloud margin stability alongside 40%+ revenue growth – this would validate that AI revenue is scaling without a full profitability reset, which is the foundation of the re-rating thesis. Fifth, management tone on the capital allocation hierarchy across three simultaneous investment fronts (e-commerce defense, food delivery, Qwen) – investors need to understand whether there is a prioritization framework or whether all three compete for budget without constraint.

We lower our FY27 revenue forecasts by 2% given that the accounting principle reclassification of incentives should drag CMR growth. We revise down FY26/27 adj EPS by 7% given larger-than-expected losses in all others segment. We lower our Dec-26 PT to US$200/HK$195, from US$205/HK$200, due to the earnings revisions.

Table 1: Alibaba forecast revisions

YE 31 Mar			FY26E					FY27E		
Figures in RMB,mn	JPMe old	JPMe new	% change	Consensus	% delta	JPMe old	JPMe new	% change	Consensus	% delta
Net Revenue	1,022,144	1,018,542	*0%*	1,030,000	*-1%*	1,149,897	1,132,109	*-2%*	1,146,000	*-1%*
Gross profit	420,288	418,847	*0%*	417,428	*0%*	474,600	467,240	*-2%*	462,526	*1%*
EBITDA (non GAAP)	121,729	114,298	*-6%*	128,296	*-11%*	171,164	156,841	*-8%*	177,635	*-12%*
EBIT (GAAP)	57,794	50,379	*-13%*	71,681	*-30%*	103,867	90,285	*-13%*	113,279	*-20%*
EBIT (non GAAP)	85,672	78,241	*-9%*		*na*	128,195	114,537	*-11%*		*na*
PBT (GAAP)	121,732	114,317	*-6%*	117,190	*-2%*	175,681	162,099	*-8%*	132,479	*22%*
Net income (GAAP)	97,134	91,120	*-6%*	95,871	*-5%*	120,492	110,706	*-8%*	110,376	*0%*
Net income (Non-GAAP)	84,792	78,765	*-7%*	83,375	*-6%*	143,670	133,826	*-7%*	123,795	*8%*
EPADS (GAAP)										
Diluted (RMB)	41.67	39.16	*-6%*	41.18	*-5%*	54.26	50.02	*-8%*	48.49	*3%*
EPADS (Non GAAP)										
Diluted (RMB)	35.61	33.10	*-7%*	32.84	*1%*	64.31	60.04	*-7%*	53.55	*12%*
Margin analysis (%)										
Gross margin	41.1%	41.1%	*0%*	40.5%	*0.6%*	41.3%	41.3%	*0%*	40.4%	*0.9%*
non-GAAP EBITDA margin	11.9%	11.2%	*-1%*		*na*	14.9%	13.9%	*-1%*		*na*
EBIT margin (GAAP)	5.7%	4.9%	*-1%*		*na*	9.0%	8.0%	*-1%*		*na*
EBIT margin (non-GAAP)	8.4%	7.7%	*-1%*		*na*	11.1%	10.1%	*-1%*		*na*
Net margin (GAAP)	9.5%	8.9%	*-1%*	9.3%	*-0.4%*	10.5%	9.8%	*-1%*	9.6%	*0.1%*
Net margin (non GAAP)	8.3%	7.7%	*-1%*	8.1%	*-0.4%*	12.5%	11.8%	*-1%*	10.8%	*1.0%*

Source: J.P. Morgan estimates, Bloomberg Finance L.P (as of Apr 8, 2026).

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com

Alibaba Group Holding Limited (BABA)

CY1Q26 Preview: Change the Scoreboard

Overweight

BABA,BABA US
Price (07 Apr 26): $119.72

▼ **Price Target (Dec-26): $200.00**
Prior (Dec-26): $205.00

China
Head of China Equity Research and Co-Head of Asia TMT Research
Alex Yao AC
(86 21) 6106 6505
alex.yao@jpmorgan.com
SAC Registration Number: S1730523020001
J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	35.36	32.85	-7.1%
Adj. EPS - 27E (Rmb)	62.28	58.01	-6.9%

Quarterly Forecasts (FYE Mar)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	16.61	14.00A	15.62
Q2	15.65	4.32A	10.10
Q3	21.28	6.92A	15.92
Q4	12.47	7.61	16.42
FY	66.02	32.85	58.01

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	22	20	19	14	22
Growth	79	71	60	66	12
Momentum	88	86	10	56	79
Quality	53	49	39	57	8
Low Vol	67	66	55	92	35
ESGQ	27	90	92	14	93

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Alibaba Group Holding Limited *(Overweight; Price Target: $200.00)*

Investment Thesis

We think the quarter will initially trade poorly on the CMR headline, but that the selloff will be contained if the company discloses apples-to-apples CMR (which we expect it to do in the earnings release) and if investors focus on the EBITA trajectory. The more durable risk is the Qwen overshoot. If management can credibly frame the CNY spend as non-recurring and guide towards a materially lower quarterly run-rate, this quarter becomes a clearing event – trough consolidated earnings from which the trajectory improves. If they cannot, we believe the market will begin pricing an open-ended consumer AI investment cycle on top of the existing food delivery drag, and the e-commerce stub valuation will compress. We lean towards the former, but with limited conviction on the Qwen forward trajectory specifically. On e-commerce fundamentals, we have higher confidence: we believe the flat EBITA, while not sufficient to drive a re-rating on its own, is directionally positive and should improve further in coming quarters as competitive lapping becomes more favourable. Maintain OW.

Valuation

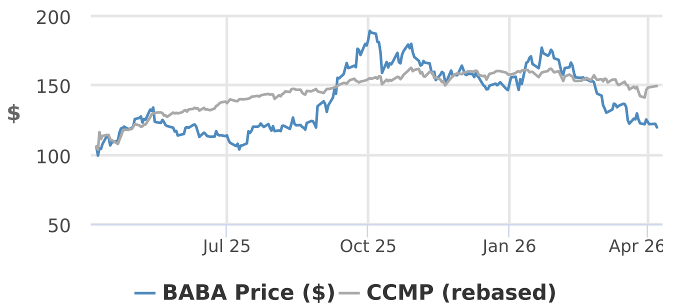
Our Dec-26 PT of US$200 is based on 16x FY28E P/E, the multiple for a ‘tier-1 China internet asset’. We use sum-of-parts as a secondary valuation method, in which we assign 14x CY26E P/E to core e-commerce profit, and 6x CY26E P/S to the cloud business, which is a discount to the average of US-listed SaaS names.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) large Chinese internet companies such as Tencent and Baidu posing a threat to Alibaba’s Local Services business; 2) investments in digital content are likely to have long gestation, leading to long-term margin pressure; and 3) mobile monetization improving slower than expected, along with the sustainability of China’s retail marketplace GMV and revenue growth in the longer run.

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com

Price Performance



	YTD	1m	3m	12m
Abs	-18.3%	-8.5%	-18.4%	13.0%
Rel	-13.0%	-6.8%	-11.8%	-28.1%

Company Data

Shares O/S (mn)	2,387
52-week range ($)	192.67-94.97
Market cap ($ mn)	285,821
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	12.06
3M ADV ($ mn)	1,806.8
Volatility (90 Day)	40
Index	NASDAQ COMPOSITE
BBG ANR (Buy | Hold | Sell)	44|4|1

Key Metrics (FYE Mar)

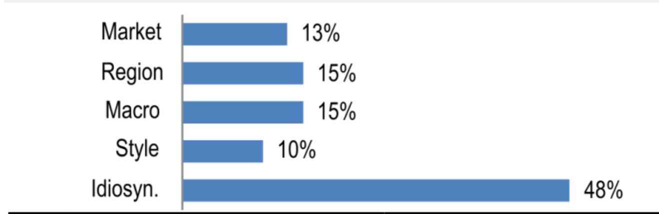
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	997,632	1,018,542	1,132,109	1,270,290
Adj. EBITDA	201,954	114,298	156,841	226,685
Adj. EBIT	172,694	78,241	114,537	181,758
Adj. net income	159,407	78,765	133,826	187,796
Adj. EPS	66.02	32.85	58.01	85.61
BBG EPS	65.51	35.23	53.85	71.26
Cashflow from operations	163,509	221,084	210,020	269,096
FCFF	84,651	29,298	(346)	47,580
Margins and Growth				
Revenue Growth Y/Y (%)	6.0%	2.1%	11.1%	12.2%
Gross margin	40.0%	41.1%	41.3%	41.7%
EBITDA margin	20.2%	11.2%	13.9%	17.8%
EBIT margin	17.3%	7.7%	10.1%	14.3%
Adj. EPS growth	6.7%	(50.2%)	76.6%	47.6%
Ratios				
Adj. tax rate	18.8%	19.0%	28.3%	28.5%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	11.6%	4.9%	5.7%	8.2%
ROE	15.8%	7.3%	11.2%	13.8%
Valuation				
FCFF yield	4.3%	1.5%	(0.0%)	2.6%
Dividend yield	-	-	-	-
EV/Revenue	1.7	1.6	1.3	1.1
EV/EBITDA	8.4	14.0	9.7	6.1
Adj. P/E	12.4	25.0	14.2	9.6

Summary Investment Thesis and Valuation

We think the quarter will initially trade poorly on the CMR headline, but that the selloff will be contained if the company discloses apples-to-apples CMR (which we expect it to do in the earnings release) and if investors focus on the EBITA trajectory. The more durable risk is the Qwen overshoot. If management can credibly frame the CNY spend as non-recurring and guide towards a materially lower quarterly run-rate, this quarter becomes a clearing event – trough consolidated earnings from which the trajectory improves. If they cannot, we believe the market will begin pricing an open-ended consumer AI investment cycle on top of the existing food delivery drag, and the e-commerce stub valuation will compress. We lean towards the former, but with limited conviction on the Qwen forward trajectory specifically. On e-commerce fundamentals, we have higher confidence: we believe the flat EBITA, while not sufficient to drive a re-rating on its own, is directionally positive and should improve further in coming quarters as competitive lapping becomes more favourable. Maintain OW

Our Dec-26 PT of US$200 is based on 16x FY28E P/E, the multiple for a 'tier 1 China internet asset'. We use sum-of-parts as a secondary valuation method, in which we assign 14x CY26E P/E to core e-commerce profit, and 6x CY26E P/S to the cloud business, which is a discount to the average of US-listed SaaS names.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.29	0.46
Region: China	0.48	0.46
Macro:		
Generic 1st 'CO' Future	-0.37	-0.30
JP Morgan EMBI Global Spread	-0.31	-0.20
US 10 Year Yield	0.31	0.20
Quant Styles:		
Growth	0.25	0.36
LowVol	-0.26	-0.31
Value	-0.14	-0.26

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com

Alibaba Group Holding Limited (BABA): Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E
Revenue	**997,632**	**1,018,542**	**1,132,109**	**1,270,290**
COGS	(598,285)	(599,695)	(664,869)	(741,182)
Gross profit	**399,347**	**418,847**	**467,240**	**529,109**
SG&A	(188,260)	(290,581)	(301,043)	(290,740)
Adj. EBITDA	**201,954**	**114,298**	**156,841**	**226,685**
D&A	(35,596)	(39,370)	(45,988)	(49,062)
Adj. EBIT	**172,694**	**78,241**	**114,537**	**181,758**
Net Interest	20,157	59,862	66,853	75,314
Adj. PBT	**188,091**	**142,179**	**186,351**	**262,529**
Tax	(35,445)	(27,021)	(52,809)	(74,879)
Minority Interest	4,133	598	4,688	4,688
Adj. Net Income	**159,407**	**78,765**	**133,826**	**187,796**
Reported EPS	54.15	39.16	50.02	77.00
Adj. EPS	**66.02**	**32.85**	**58.01**	**85.61**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	2,415	2,398	2,307	2,194

Balance Sheet	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	145,487	241,814	324,517	463,520
Accounts receivable	202,175	167,432	186,100	208,815
Inventories	-	-	-	-
Other current assets	326,387	326,387	326,387	326,387
Current assets	**674,049**	**735,633**	**837,004**	**998,722**
PP&E	203,348	285,476	367,704	449,806
LT investments	-	-	-	-
Other non current assets	926,830	916,888	906,940	896,987
Total assets	**1,804,227**	**1,937,996**	**2,111,648**	**2,345,515**
Short term borrowings	22,562	22,562	22,562	22,562
Payables	332,537	345,030	382,527	426,433
Other short term liabilities	80,247	93,217	94,542	96,154
Current liabilities	**435,346**	**460,809**	**499,631**	**545,149**
Long-term debt	208,141	208,141	208,141	208,141
Other long term liabilities	70,634	70,634	70,634	70,634
Total liabilities	**714,121**	**739,584**	**778,406**	**823,924**
Shareholders' equity	1,021,571	1,129,877	1,264,707	1,453,056
Minority interests	68,535	68,535	68,535	68,535
Total liabilities & equity	**1,804,227**	**1,937,996**	**2,111,648**	**2,345,515**
BVPS	**434.93**	**488.10**	**570.13**	**688.86**
y/y Growth	*10.0%*	*12.2%*	*16.8%*	*20.8%*
Net debt/(cash)	(122,925)	(219,252)	(301,955)	(440,958)

Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**163,509**	**221,084**	**210,020**	**269,096**
o/w Depreciation & amortization	42,459	52,572	55,037	57,944
o/w Changes in working capital	4,114	60,206	20,153	22,803
Cash flow from investing activities	**(185,415)**	**(124,757)**	**(127,317)**	**(130,093)**
o/w Capital expenditure	(85,972)	(122,225)	(124,532)	(127,029)
as % of sales	*8.6%*	*12.0%*	*11.0%*	*10.0%*
Cash flow from financing activities	**(76,215)**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-
o/w Shares issued/(repurchased)	10	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**(97,156)**	**96,327**	**82,703**	**139,003**
Adj. Free cash flow to firm	**84,651**	**29,298**	**(346)**	**47,580**
y/y Growth	*(36.7%)*	*(65.4%)*	*(101.2%)*	*(13839.1%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	40.0%	41.1%	41.3%	41.7%
EBITDA margin	20.2%	11.2%	13.9%	17.8%
EBIT margin	17.3%	7.7%	10.1%	14.3%
Net profit margin	16.0%	7.7%	11.8%	14.8%
ROE	15.8%	7.3%	11.2%	13.8%
ROA	8.9%	4.2%	6.6%	8.4%
ROCE	11.6%	4.9%	5.7%	8.2%
SG&A/Sales	18.9%	28.5%	26.6%	22.9%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.6	0.5	0.6	0.6
Assets/Equity (x)	1.8	1.7	1.7	1.6
Interest cover (x)	NM	NM	NM	NM
Operating leverage	71.9%	(2609.5%)	416.1%	480.8%
Tax rate	18.8%	19.0%	28.3%	28.5%
Revenue y/y Growth	6.0%	2.1%	11.1%	12.2%
EBITDA y/y Growth	5.1%	(43.4%)	37.2%	44.5%
EPS y/y Growth	6.7%	(50.2%)	76.6%	47.6%

Valuation	FY25A	FY26E	FY27E	FY28E
P/E (x)	12.4	25.0	14.2	9.6
P/BV (x)	1.9	1.7	1.4	1.2
EV/EBITDA (x)	8.4	14.0	9.7	6.1
Dividend Yield	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

Overweight

9988.HK,9988 HK

Price (08 Apr 26): HK$126.50

▼ **Price Target (Dec-26): HK$195.00**
Prior (Dec-26): HK$200.00

China

Head of China Equity Research and Co-Head of Asia TMT Research

Alex Yao AC

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	4.42	4.11	-7.1%
Adj. EPS - 27E (Rmb)	7.78	7.25	-6.9%

Quarterly Forecasts (FYE Mar)

Adj. EPS (Rmb)

	2025A	2026E	2027E
Q1	2.08	1.75A	1.95
Q2	1.96	0.54A	1.26
Q3	2.66	0.87A	1.99
Q4	1.56	0.95	2.05
FY	8.25	4.11	7.25

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	20	14	15	12	20
Growth	78	69	76	73	12
Momentum	83	82	12	44	78
Quality	51	48	60	67	8
Low Vol	73	69	55	91	49
ESGQ	27	90	92	14	93

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Alibaba Group Holding Limited

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Investment Thesis, Valuation and Risks

Alibaba Group Holding Limited *(Overweight; Price Target: HK$195.00)*

Investment Thesis

We think the quarter will initially trade poorly on the CMR headline, but that the selloff will be contained if the company discloses apples-to-apples CMR (which we expect it to do in the earnings release) and if investors focus on the EBITA trajectory. The more durable risk is the Qwen overshoot. If management can credibly frame the CNY spend as non-recurring and guide towards a materially lower quarterly run-rate, this quarter becomes a clearing event – trough consolidated earnings from which the trajectory improves. If they cannot, we believe the market will begin pricing an open-ended consumer AI investment cycle on top of the existing food delivery drag, and the e-commerce stub valuation will compress. We lean towards the former, but with limited conviction on the Qwen forward trajectory specifically. On e-commerce fundamentals, we have higher confidence: we believe the flat EBITA, while not sufficient to drive a re-rating on its own, is directionally positive and should improve further in coming quarters as competitive lapping becomes more favourable. Maintain OW.

Valuation

Our Dec-26 PT of HK$195 is based on our US$ PT, using a ratio of 8 ordinary shares per ADS and a USD/HKD exchange rate of 7.8.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) large Chinese internet companies such as Tencent and Baidu posing a threat to Alibaba’s Local Services business; 2) investments in digital content are likely to have long gestation, leading to long-term margin pressure; and 3) mobile monetization improving slower than expected, along with the sustainability of China’s retail marketplace GMV and revenue growth in the longer run.

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	-11.4%	-3.2%	-11.3%	23.4%
Rel	-12.4%	-3.7%	-10.3%	-5.2%

Company Data

Shares O/S (mn)	19,099
52-week range (HK$)	186.20-94.94
Market cap ($ mn)	308,321
Exchange rate	7.84
Free float (%)	89.6%
3M ADV (mn)	92.54
3M ADV ($ mn)	1,717.9
Volatility (90 Day)	43
Index	HSI
BBG ANR (Buy | Hold | Sell)	48|1|1

Key Metrics (FYE Mar)

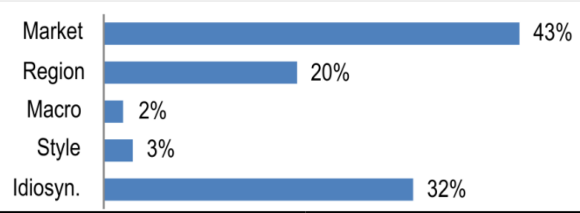
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	997,632	1,018,542	1,132,109	1,270,290
Adj. EBITDA	201,954	114,298	156,841	226,685
Adj. EBIT	172,694	78,241	114,537	181,758
Adj. net income	159,407	78,765	133,826	187,796
Adj. EPS	8.25	4.11	7.25	10.70
BBG EPS	8.19	4.41	6.74	8.91
Cashflow from operations	163,509	221,084	210,020	269,096
FCFF	84,651	29,298	(346)	47,580
Margins and Growth				
Revenue Growth Y/Y (%)	6.0%	2.1%	11.1%	12.2%
Gross margin	40.0%	41.1%	41.3%	41.7%
EBITDA margin	20.2%	11.2%	13.9%	17.8%
EBIT margin	17.3%	7.7%	10.1%	14.3%
Adj. EPS growth	6.7%	(50.2%)	76.6%	47.6%
Ratios				
Adj. tax rate	18.8%	19.0%	28.3%	28.5%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	11.6%	4.9%	5.7%	8.2%
ROE	15.8%	7.3%	11.2%	13.8%
Valuation				
FCFF yield	4.0%	1.4%	(0.0%)	2.4%
Dividend yield	-	-	-	-
EV/Revenue	1.7	1.6	1.3	1.1
EV/EBITDA	8.5	14.2	9.7	6.1
Adj. P/E	13.4	27.0	15.3	10.4

Summary Investment Thesis and Valuation

We think the quarter will initially trade poorly on the CMR headline, but that the selloff will be contained if the company discloses apples-to-apples CMR (which we expect it to do in the earnings release) and if investors focus on the EBITA trajectory. The more durable risk is the Qwen overshoot. If management can credibly frame the CNY spend as non-recurring and guide towards a materially lower quarterly run-rate, this quarter becomes a clearing event – trough consolidated earnings from which the trajectory improves. If they cannot, we believe the market will begin pricing an open-ended consumer AI investment cycle on top of the existing food delivery drag, and the e-commerce stub valuation will compress. We lean towards the former, but with limited conviction on the Qwen forward trajectory specifically. On e-commerce fundamentals, we have higher confidence: we believe the flat EBITA, while not sufficient to drive a re-rating on its own, is directionally positive and should improve further in coming quarters as competitive lapping becomes more favourable. Maintain OW.

Our Dec-26 PT of HK$195 is based on our US$ PT, using a ratio of 8 ordinary shares per ADS and a USD/HKD exchange rate of 7.8.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.66
Region: China	0.68	0.61
Macro:		
Markit EM Composite PMI SA	0.40	0.16
Generic 1st 'CO' Future	-0.21	-0.16
HSI Volatility Index	-0.12	-0.15
Quant Styles:		
LowVol	-0.26	-0.27
Growth	0.20	0.24
DivYld	-0.16	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Alibaba Group Holding Limited: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E
Revenue	**997,632**	**1,018,542**	**1,132,109**	**1,270,290**
COGS	(598,285)	(599,695)	(664,869)	(741,182)
Gross profit	**399,347**	**418,847**	**467,240**	**529,109**
SG&A	(188,260)	(290,581)	(301,043)	(290,740)
Adj. EBITDA	**201,954**	**114,298**	**156,841**	**226,685**
D&A	(35,596)	(39,370)	(45,988)	(49,062)
Adj. EBIT	**172,694**	**78,241**	**114,537**	**181,758**
Net Interest	20,157	59,862	66,853	75,314
Adj. PBT	**188,091**	**142,179**	**186,351**	**262,529**
Tax	(35,445)	(27,021)	(52,809)	(74,879)
Minority Interest	4,133	598	4,688	4,688
Adj. Net Income	**159,407**	**78,765**	**133,826**	**187,796**
Reported EPS	6.77	4.90	6.25	9.63
Adj. EPS	**8.25**	**4.11**	**7.25**	**10.70**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	19,318	19,184	18,455	17,549

Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**163,509**	**221,084**	**210,020**	**269,096**
o/w Depreciation & amortization	42,459	52,572	55,037	57,944
o/w Changes in working capital	4,114	60,206	20,153	22,803
Cash flow from investing activities	**(185,415)**	**(124,757)**	**(127,317)**	**(130,093)**
o/w Capital expenditure	(85,972)	(122,225)	(124,532)	(127,029)
as % of sales	*8.6%*	*12.0%*	*11.0%*	*10.0%*
Cash flow from financing activities	**(76,215)**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-
o/w Shares issued/(repurchased)	10	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**(97,156)**	**96,327**	**82,703**	**139,003**
Adj. Free cash flow to firm	**84,651**	**29,298**	**(346)**	**47,580**
y/y Growth	*(36.7%)*	*(65.4%)*	*(101.2%)*	*(13839.1%)*

Balance Sheet	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	145,487	241,814	324,517	463,520
Accounts receivable	202,175	167,432	186,100	208,815
Inventories	-	-	-	-
Other current assets	326,387	326,387	326,387	326,387
Current assets	**674,049**	**735,633**	**837,004**	**998,722**
PP&E	203,348	285,476	367,704	449,806
LT investments	-	-	-	-
Other non current assets	926,830	916,888	906,940	896,987
Total assets	**1,804,227**	**1,937,996**	**2,111,648**	**2,345,515**
Short term borrowings	22,562	22,562	22,562	22,562
Payables	332,537	345,030	382,527	426,433
Other short term liabilities	80,247	93,217	94,542	96,154
Current liabilities	**435,346**	**460,809**	**499,631**	**545,149**
Long-term debt	208,141	208,141	208,141	208,141
Other long term liabilities	70,634	70,634	70,634	70,634
Total liabilities	**714,121**	**739,584**	**778,406**	**823,924**
Shareholders' equity	1,021,571	1,129,877	1,264,707	1,453,056
Minority interests	68,535	68,535	68,535	68,535
Total liabilities & equity	**1,804,227**	**1,937,996**	**2,111,648**	**2,345,515**
BVPS	**54.37**	**61.01**	**71.27**	**86.11**
y/y Growth	*10.0%*	*12.2%*	*16.8%*	*20.8%*
Net debt/(cash)	(122,925)	(219,252)	(301,955)	(440,958)

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	40.0%	41.1%	41.3%	41.7%
EBITDA margin	20.2%	11.2%	13.9%	17.8%
EBIT margin	17.3%	7.7%	10.1%	14.3%
Net profit margin	16.0%	7.7%	11.8%	14.8%
ROE	15.8%	7.3%	11.2%	13.8%
ROA	8.9%	4.2%	6.6%	8.4%
ROCE	11.6%	4.9%	5.7%	8.2%
SG&A/Sales	18.9%	28.5%	26.6%	22.9%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.6	0.5	0.6	0.6
Assets/Equity (x)	1.8	1.7	1.7	1.6
Interest cover (x)	NM	NM	NM	NM
Operating leverage	71.9%	(2609.5%)	416.1%	480.8%
Tax rate	18.8%	19.0%	28.3%	28.5%
Revenue y/y Growth	6.0%	2.1%	11.1%	12.2%
EBITDA y/y Growth	5.1%	(43.4%)	37.2%	44.5%
EPS y/y Growth	6.7%	(50.2%)	76.6%	47.6%

Valuation	FY25A	FY26E	FY27E	FY28E
P/E (x)	13.4	27.0	15.3	10.4
P/BV (x)	2.0	1.8	1.6	1.3
EV/EBITDA (x)	8.5	14.2	9.7	6.1
Dividend Yield	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com

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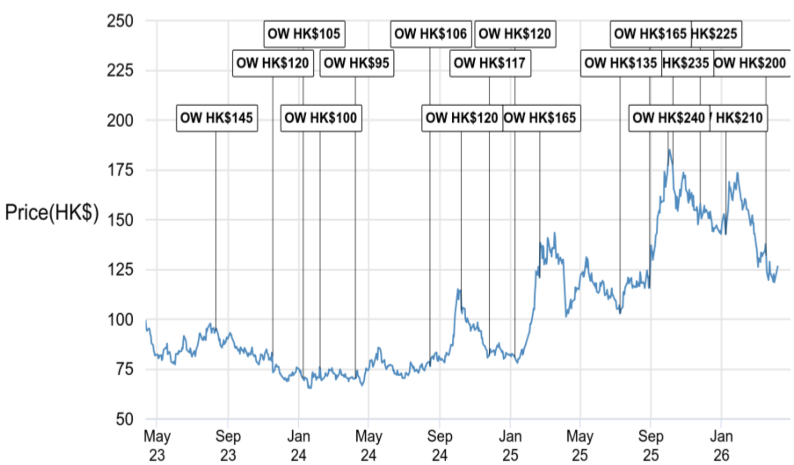
Alibaba Group Holding Limited (BABA) (BABA, BABA US) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 29, 2014. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
11-Aug-23	OW	99.21	150
17-Nov-23	OW	79.11	125
09-Jan-24	OW	72.88	110
08-Feb-24	OW	73.64	105
09-Apr-24	OW	71.71	100
16-Aug-24	OW	79.54	108
09-Oct-24	OW	109.68	125
26-Nov-24	OW	85.58	120
09-Jan-25	OW	83.69	125
21-Feb-25	OW	135.97	170
10-Jul-25	OW	103.83	140
31-Aug-25	OW	135.00	170
01-Oct-25	OW	178.73	245
09-Oct-25	OW	181.12	240
26-Nov-25	OW	157.01	230
09-Jan-26	OW	154.47	215
20-Mar-26	OW	124.90	205

Alibaba Group Holding Limited (9988.HK, 9988 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 11, 2021. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
11-Aug-23	OW	94.30	145
17-Nov-23	OW	81.35	120
09-Jan-24	OW	70.35	105
08-Feb-24	OW	74.90	100
09-Apr-24	OW	70.40	95
16-Aug-24	OW	76.40	106
09-Oct-24	OW	104.50	120
26-Nov-24	OW	81.95	117
09-Jan-25	OW	80.90	120
21-Feb-25	OW	120.90	165
10-Jul-25	OW	102.90	135
31-Aug-25	OW	115.70	165
01-Oct-25	OW	177.00	240
09-Oct-25	OW	177.60	235
26-Nov-25	OW	157.80	225
09-Jan-26	OW	142.60	210
20-Mar-26	OW	132.00	200

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